Tesla Inc. (TSLA US, HOLD, TP: US$382.00)

BUY | **HOLD** | SELL

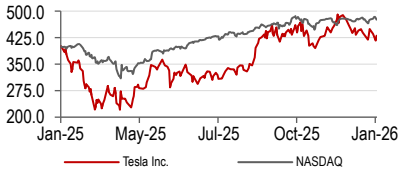
Target Price: US$382.00	Price: US$430.41
Potential up/downside to TP +/-%	-11%
52-Week High/Low (US$)	498.83/214.25
Market Cap (US$mn)	1,390,655
Shares Outstanding (mn)	3,231
3-mth ADTV (US$mn)	32,406
Free Float (%)	100
Major Shareholder (%)	
Elon Musk	12
The Vanguard Group	7
Blackrock	6

Price as of close on January 30, 2026.
Source: FactSet

Key Changes

	New	Old	Diff
Rating	HOLD	HOLD	N/A
Target Price (US$)	382.00	380.00	1%
2026E EPS (US$)	2.05	2.04	0%
2027E EPS (US$)	2.61	2.94	-11%
2028E EPS (US$)	3.37	N/A	N/A

Price Performance



Source: FactSet

China Renaissance vs Consensus (% Diff)

	2026E	2027E
Rev (US$mn)	111,846 (-14%)	135,301 (-23%)
EPS (US$)	2.24 (-9%)	3.05 (-14%)

Note: Consensus estimates displayed, sourced from Wind. Positive % diff = CR estimate above consensus; negative = CR estimate below consensus.

Weak auto sales dragged 4Q25 results; maintain HOLD

- **4Q25 revenue /GAAP net profit down by 10.2%/ 60.5% YoY.**
- **Optimus 3.0 is expected to be launched in few months.**
- **Maintain HOLD rating and fine-tune SOTP-based TP to US$382.00.**

Decreased revenue with higher auto GPM in 4Q25. Tesla reported 4Q25 revenue of US$16.75bn from automotive sales (-10.2% YoY/ -17.7% QoQ), with full-year automotive revenue reaching US$65.82bn (-9.2% YoY). The decline was primarily due to weaker EV deliveries, as 4Q25 shipments fell 15.6% YoY to 418,227 vehicles. Despite continued double-digit growth in energy storage and services revenue in 2025, Tesla's full-year total revenue declined 2.9% YoY to US$94.8bn, marking its first annual revenue drop since going public. In 4Q25, automotive sales GPM (ex-regulatory credits) increased 2.5ppts QoQ to 17.2%, which we attribute mainly to improved capacity utilization and mix change. GAAP net attributable profit for 4Q25 and full-year 2025 stood at US$0.84bn (-60.5% YoY) and US$3.79bn (-46.5% YoY), respectively. During the earnings call, Tesla announced it will discontinue Model S/X production in 2Q26 but will continue to introduce affordable models with autonomous driving capabilities.

Focus on autonomous driving technology. As Tesla further prioritizes the development of autonomous driving technology, it continues to expand the operational scope of Robotaxi and plans to commence production of the Cybercab (without steering wheel/ pedals) in April. The company anticipates that the production volume of this model will surpass the combined total of all other future vehicle models. Tesla also disclosed the global paid user base of its Full Self-Driving (FSD) for the first time, which reached approximately 1.1mn as of the end of 2025, roughly 12% of the company's cumulative vehicle sales.

Imminent launch of Optimus 3.0: On earnings call, management said that following the discontinuation of Model S/X, the existing production lines will be repurposed for Optimus manufacturing. The third-generation Optimus robot is scheduled for release within the coming months. Elon Musk identified three major challenges for humanoid robots: 1) creating a mechanical hand with dexterity and degrees of freedom equivalent to a human hand, 2) real-world AI, and 3) scalable manufacturing capability. He believes Tesla's humanoid robot is the only one among competitors possessing all three capabilities.

Maintain HOLD rating and fine-tune target price to US$382.00. We lower our revenue and net profit forecasts and raise gross margin forecasts for 2026E-27E. We also introduce 2028E projections. We continue to use Sum-of-the-Parts (SOTP) valuation method and adjust target price to US$382.00 (was US$380.00). Maintain HOLD rating. **Key risks include:** upside: - new vehicle sales exceeding expectations, smooth commercialization of Robotaxi, breakthroughs in Optimus and FSD; downside – vehicle sales falling short of expectations, intensifying global competition, potential adverse impacts on sales and profitability from tariff fluctuations.

Summary Financial Data

FY to Dec 31	2024A	2025A	2026E	2027E	2028E
Revenue (US$mn)	97,690	94,827	96,554	104,636	108,557
EBIT (US$mn)	7,076	4,355	5,855	7,965	6,892
Net Income (US$mn)	7,960	5,858	6,346	8,195	7,480
EPS (US$)	2.29	1.56	2.05	2.61	3.37
P/E (x)	100.6	228.5	210.4	164.9	127.6

Note: Historical valuation ratios calculated on yearly average price.

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Exhibit 1: Tesla – Key estimate revisions

	New			Old			Change		
(US$mn)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	96,554	104,636	108,557	107,602	121,776	N/A	-10.4%	-14.2%	N/A
Gross Profit	19,625	22,819	22,461	19,220	24,306	N/A	2.0%	-6.2%	N/A
Gross Profit Margin %	20.3%	21.8%	20.7%	17.9%	20.0%	N/A	2.4ppts	1.8ppts	N/A
R&D Expenses	7,052	7,405	7,775	6,848	7,533	N/A	3.0%	-1.7%	N/A
SG&A Expenses	6,126	6,738	6,940	6,148	6,886	N/A	-0.4%	-2.1%	N/A
Net Attributable Profit	5,381	7,089	6,249	5,688	8,595	N/A	-5.6%	-17.7%	N/A
EPS per ADR (USD; diluted)	1.53	2.01	1.77	1.61	2.44	N/A	-5.8%	-17.6%	N/A
Non-GAAP Net Attributable Profit	6,346	8,195	7,480	6,653	9,701	N/A	-4.8%	-15.7%	N/A
Non-GAAP EPS per ADR (US$)	2.05	2.61	3.37	2.03	2.94	N/A	0.3%	-11.2%	N/A
EV Delivery (units)	1,685,000	1,830,000	1,870,000	1,948,500	2,321,000	N/A	-13.5%	-21.2%	N/A

Source: CR Securities estimates

Exhibit 2: Tesla – SOTP-based valuation

(US$mn)	2026E
Automotive revenue	64,978.41
Net profit margin (%)	10.0%
Automotive net profit	6,497.8
x P/E (x)	115
Automotive valuation	**747,252**
Energy generation and storage revenue	16,964.9
x P/S (x)	20
Energy generation and storage valuation	**339,298**
Services and other revenue	14,610.6
x P/S (x)	10
Services and other valuation	**146,106**
Total valuation (US$ mn)	1,232,656
÷ Shares outstanding (mn)	3,231
Target price (US$/share)	**382.00**
Closing price	430.41
Upside	-11%

Note: Price as of Jan 30, 2026.

Source: Wind, CR Securities estimates

Risks

Upside risks to our target price include:

- **Stronger-than-expected EV sales:** Tesla has launched more affordable Model 3 in US and certain countries in 4Q25, which we believe is likely to become a new sales driver. If the model's sales exceed market expectations, this could bring positive impact on the stock price.
- **Smooth progress in Robotaxi commercialization:** The Robotaxi program has already entered the initial stage of commercialization and is expanding the operational coverage area. Given Tesla's business model for Robotaxi is more optimal compared to peers', in our view, we believe it could quickly change the industry's competitive landscape once the FSD is proven technically mature, which could further improve Tesla's profitability and could drive a re-rating.
- **Breakthroughs in the Optimus and FSD programs:** CEO Elon Musk expects to start mass production of the gen-3 Optimus in 2026 with a target to manufacture 1mn units per annum. If the plan progresses smoothly, this would become the world's first mass-produced humanoid robot, which we believe would bode well for the company's stock price and prospects.

Downside risks to our target price include:

- **Weaker-than-expected EV sales:** Considering slowing global NEV sales growth, including weaker demand in China following three years of rapid growth, Tesla's vehicle sales could be adversely impacted if the global demand for EVs comes in below our expectation.
- **Intensified global competition:** With the emergence of Chinese NEV brands, competition in the global EV market is becoming increasingly intense. While Tesla still has a leading position in terms of technology and manufacturing, its advantage over these strong new entrants is gradually narrowing. Thus, fiercer competition globally could weigh on Tesla's vehicle sales.
- **Higher tariffs' impact on sales and earnings:** Higher US tariffs globally could elevate Tesla's supply chain procurement costs, which could dampen its sales in the US or other regions and hurt its earnings profile.

Financials

Year to Dec 31

Income Statement

(US$mn)	2025A	2026E	2027E	2028E
Automotive	69,526	64,978	67,476	67,829
Energy generation and storage	12,771	16,965	20,358	21,579
Services and other	12,530	14,611	16,802	19,148
Sales	**94,827**	**96,554**	**104,636**	**108,557**
Cost of Goods Sold	(77,733)	(76,929)	(81,816)	(86,096)
Gross Profit	**17,094**	**19,625**	**22,819**	**22,461**
SG&A (incl. R&D)	(12,245)	(13,178)	(14,143)	(14,715)
thereof R&D	(6,411)	(7,052)	(7,405)	(7,775)
EBIT	**4,355**	**5,855**	**7,965**	**6,892**
EBITDA	**10,503**	**12,617**	**15,404**	**15,075**
Net interest income	1,680	1,764	1,852	1,945
Net interest expense	(338)	(355)	(373)	(391)
Pretax profit	**5,278**	**6,803**	**8,938**	**7,888**
Income Tax	(1,423)	(1,361)	(1,788)	(1,578)
Reported net income	**3,794**	**5,381**	**7,089**	**6,249**
Adjusted EBITDA	**14,596**	**16,869**	**19,785**	**19,588**
Adjusted net income	**5,858**	**6,346**	**8,195**	**7,480**
EPS (reported) (US$)	**1.21**	**1.72**	**2.26**	**2.00**
EPS (diluted, adjusted) (US$)	**1.56**	**2.05**	**2.61**	**3.37**

Balance Sheet

(US$mn)	2025A	2026E	2027E	2028E
Current assets	**68,642**	**73,565**	**80,837**	**88,829**
Cash & equivalents	44,059	50,668	55,735	61,308
Account receivables	4,576	5,034	5,537	6,091
Inventories	12,392	13,631	14,994	16,494
Other current assets	7,615	4,232	4,571	4,937
Non-current assets	**69,164**	**82,060**	**88,607**	**94,869**
PPE	40,643	52,134	56,305	60,809
Intangible assets	0	0	0	0
Goodwill	0	0	0	0
Other non-current assets	20,588	22,395	24,369	26,528
Total assets	**137,806**	**155,626**	**169,444**	**183,698**
Total Current Liabilities	**31,714**	**34,379**	**37,311**	**40,535**
ST interest bearing debt	0	0	0	0
Unearned revenue	3,424	3,424	3,424	3,424
Accounts Payable	13,371	14,708	16,179	17,797
LT interest bearing debt	0	0	0	0
Other Liabilities	23,227	24,857	26,648	28,616
Total Liabilities	**54,941**	**59,236**	**63,958**	**69,151**
Common Stock/Ordinary Capital	3	3	3	3
Share Premium	40,607	47,835	49,636	50,401
Retained Earnings	42,251	48,588	55,877	64,258
Shareholders Equity	**82,137**	**95,645**	**104,656**	**113,717**
Minority Interest	728	745	830	831
Total Liabilities & Sh. Equity	**137,806**	**155,626**	**169,444**	**183,698**

Note: Historical valuation ratios calculated on yearly average price.

Source: Company data, CR Securities estimates

Cash Flow

(US$mn)	2025A	2026E	2027E	2028E
Reported net income	**3,794**	**5,381**	**7,089**	**6,249**
Depreciation & amortization	6,148	6,763	7,439	8,183
Net interest (income) / expenses	0	0	0	0
Other non-cash items (+/-)	4,005	4,205	4,416	4,636
Others (+/-)	1,315	500	500	500
Change in Working Capital	(3,341)	(800)	(1,000)	(1,000)
Cash Flow from operations	**15,745**	**15,949**	**18,344**	**18,469**
Capex	(12,559)	(20,094)	(22,104)	(24,314)
Acquisitions & Investments	(46,692)	(42,023)	(37,821)	(34,038)
Disposal of Fixed Assets & Invst	40,607	42,637	44,769	45,665
Other Investing Activities	0	0	0	0
Net Cash Flow from Investments	**(18,644)**	**(19,480)**	**(15,155)**	**(12,687)**
Dividends paid	0	0	0	0
Change in Debt	(2,131)	(2,238)	(2,349)	(2,467)
Equity raised / (purchased)	0	0	0	0
Other Financial Activities	1,511	1,587	1,666	1,749
Net Cash Flow from Financing	**(620)**	**(651)**	**(684)**	**(718)**
Net Cash Flow	**(3,087)**	**(4,212)**	**2,460**	**5,020**
Free Cash Flow	**3,186**	**(4,145)**	**(3,760)**	**(5,846)**

Key Assumptions

	2025A	2026E	2027E	2028E
Automotive sales (000' units)	1,636.1	1,685.0	1,830.0	1,870.0

Financial Ratios

	2025A	2026E	2027E	2028E
YoY (%)				
Revenue	(2.9)	1.8	8.4	3.7
Gross Profit	(2.0)	14.8	16.3	(1.6)
EBITDA	(15.6)	20.1	22.1	(2.1)
Adjusted EBITDA	(12.3)	15.6	17.3	(1.0)
Net Profit	(46.5)	41.8	31.7	(11.8)
Adjusted Net Profit	(26.4)	8.3	29.1	(8.7)
EPS	(45.6)	41.8	31.7	(11.8)
Adjusted EPS	(31.8)	31.0	27.6	29.2
Profitability (%)				
Gross Margin	18.0	20.3	21.8	20.7
EBITDA Margin	11.1	13.1	14.7	13.9
Adjusted EBITDA Margin	15.4	17.5	18.9	18.0
EBIT Margin	4.6	6.1	7.6	6.3
Net Margin	4.0	5.6	6.8	5.8
Adjusted Net Margin	6.2	6.6	7.8	6.9
ROE	4.6	5.6	6.8	5.5
ROA	2.8	3.5	4.2	3.4
Liquidity (x)				
Current ratio	2.2	2.1	2.2	2.2
Quick ratio	1.8	1.7	1.8	1.8
Valuation Ratios (x)				
P/E	228.5	210.4	164.9	127.6
P/B	13.9	14.5	13.4	12.5
P/S	14.7	14.4	13.3	12.8

Appendix A

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Buy	150	77%	4	3%
Hold	43	22%	0	0%
Sell	2	1%	0	0%

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Buy – The expected return on the subject company's stock price should outperform the typical benchmark market index for the subject company's primary listing exchange (e.g. the S&P 500 for U.S.-listed stocks) over the above-defined time horizon from the publishing date of the initiation of coverage or subsequent report announcing a rating change.

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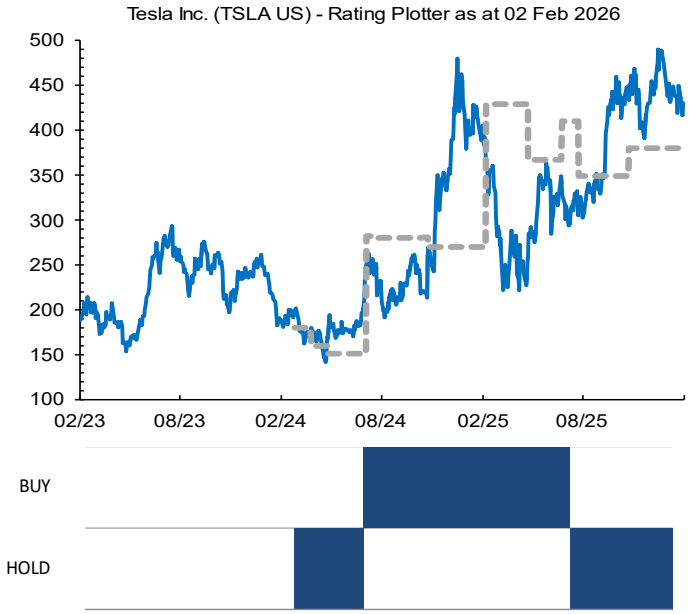
Stocks Mentioned (Stock Code / Date / Price / Rating)

Tesla Inc. (TSLA US, Jan 30, 2026, US$430.41, HOLD)

History of investment rating and target price – Tesla Inc.

Date	CP (US$)	TP (US$)	Rating
24-Oct-25	433.72	380.00	Hold
25-Jul-25	316.06	349.00	Hold
25-Jun-25	327.55	410.00	Buy
24-Apr-25	259.51	367.00	Buy
07-Feb-25	361.62	429.00	Buy
25-Oct-24	269.19	270.00	Buy
15-Oct-24	219.57	280.86	Buy
25-Jul-24	220.25	280.16	Buy
05-Jul-24	251.52	282.13	Buy
25-Apr-24	170.18	151.31	Hold
27-Mar-24	179.83	159.84	Hold
26-Feb-24	199.40	180.16	Hold



Valuation and Risks - Tesla Inc. (TSLA US)

Valuation: We use SOTP methodology to value Tesla: we assign 115x 2026E P/E for auto business; 20x 2026E P/S target for Energy Storage; 10x 2026E P/S target for Service and other businesses, and derive our TP of US$382.00.

Risks: Risks include: Downside-1) weaker EV sales; 2) intensified global competition; 3) higher tariffs impact on sales and earnings; Upside-1) Stronger-than-expected EV sales, 2) Commercialization of Robotaxi progresses smoothly, 3) Breakthroughs in the Optimus and FSD programe

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